

SMITHCAP FMO · MARKETS DIVISION

Options Trading Playbook

Strategies, Risk Rules, and Execution Framework

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SmithCap FMO — Options Trading Playbook

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■■ Important Disclaimer

This playbook is for educational and personal trading reference only. It is NOT financial advice. Options trading involves substantial risk of loss. Never trade with money you cannot afford to lose. Always consult a licensed financial professional before making investment decisions.

Part 1 — Options Fundamentals

What Is an Option?

An option is a **contract** that gives the buyer the **right, but not the obligation**, to buy or sell 100 shares of a stock at a specified price (the **strike**) before or on a specific date (the **expiration**).

Every option has:

- **Ticker** — the underlying stock
- **Type** — Call (right to BUY) or Put (right to SELL)
- **Strike Price** — the price at which you can buy/sell the stock
- **Expiration Date** — when the contract expires
- **Premium** — the price paid/received for the contract (x100 shares)

One contract = 100 shares. A \$2.00 premium = \$200 actual cost.

Calls vs Puts

	Call Option	Put Option
Right to...	BUY 100 shares at strike	SELL 100 shares at strike
Buyer profits when...	Stock goes UP	Stock goes DOWN
Seller profits when...	Stock stays FLAT or goes down	Stock stays FLAT or goes up
Use case (buyer)	Bullish speculation or leverage	Bearish speculation or hedge
Use case (seller)	Income on stock you own	Income or buy stocks at a discount

Moneyness

Term	Meaning	Example (Stock @ \$100)
In the Money (ITM)	Has intrinsic value	Call with \$95 strike / Put with \$105 strike
At the Money (ATM)	Strike = current price	Call or Put with \$100 strike
Out of the Money (OTM)	No intrinsic value yet	Call with \$110 strike / Put with \$90 strike

Rule of thumb: Sell OTM options (premium sellers). Buy OTM options only with a strong directional thesis.

The Greeks — Your Dashboard

Greeks tell you HOW an option's price will change. Understanding these is non-negotiable.

Delta (Δ) — Direction

- Range: 0 to 1.0 for calls / -1.0 to 0 for puts
- **Meaning:** How much the option price moves per \$1 move in the stock
- Example: Delta 0.30 = option gains \$0.30 if stock rises \$1.00
- **Key targets:**
 - Selling premium: target 0.20–0.35 delta (OTM, high probability of expiring worthless)
 - Buying options for directional play: 0.40–0.70 delta (more responsive)
 - Deep ITM: Delta > 0.80 (acts almost like stock)

Theta (Θ) — Time Decay

- Always negative for option buyers / positive for option sellers
- **Meaning:** How much the option loses in value per day (time decay)
- Example: Theta = -\$0.05 means the option loses \$5/day per contract
- **Key insight:** Time decay accelerates in the final 30 days before expiration
- **Strategy:** When SELLING options, theta works FOR you. When BUYING, it works AGAINST you.

Vega (v) — Volatility Sensitivity

- **Meaning:** How much the option price changes per 1% change in Implied Volatility (IV)
- High Vega = option price moves a lot when IV changes
- **Key insight:** IV spikes before earnings, then CRUSHES after. Option sellers want to sell high IV; option buyers want to buy low IV.
- **IV Rank (IVR):** Compares current IV to its 52-week range. IVR > 50 = elevated IV, good for selling. IVR < 30 = low IV, bad for selling.

Gamma (Γ) — Delta Acceleration

- **Meaning:** How fast delta changes as the stock moves
- **Danger zone:** Gamma spikes dramatically within 7–14 days of expiration (gamma risk)
- **Rule:** Close or roll short options before they get within 7 DTE unless intentional

Rho (ρ) — Interest Rate Sensitivity

- Least impactful for short-term trades. Matters more for long-dated LEAPS.
- Rising rates = slightly higher call prices, slightly lower put prices.

Implied Volatility (IV) — The Engine

IV = the market's expectation of future price movement, expressed as an annualized percentage.

IV Level	What It Means	Action
High IV (IVR > 50)	Market expects big moves. Premiums are EXPENSIVE.	SELL premium (covered calls, CSPs, spreads)
Low IV (IVR < 30)	Market is calm. Premiums are CHEAP.	BUY options (directional plays, LEAPS)
Medium IV (IVR 30–50)	Normal. Use judgment.	Either — depends on setup

IV Crush: IV drops sharply AFTER a binary event (earnings, FDA decision). Option buyers lose even if the stock moves the "right" way. This is why buying options into earnings is risky.

Bid-Ask Spread — The Hidden Cost

Every option has a bid (what buyers pay) and ask (what sellers receive). The spread between them is a transaction cost.

- **Liquid options** (NVDA, AAPL, SPY): tight spreads, \$0.01–\$0.10. Trade these.
- **Illiquid options** (small caps): wide spreads, \$0.50–\$2.00+. Avoid these.
- **Rule:** Always use limit orders. Never use market orders on options. Place your limit between the bid and ask.

Part 2 — The Strategy Playbook

Strategy Selection Matrix

Market Outlook	IV Environment	Best Strategy
Bullish	High IV	Cash-Secured Put OR Bull Put Spread
Bullish	Low IV	Long Call OR LEAP Call
Bullish (own stock)	High IV	Covered Call
Neutral / Slight Bullish	High IV	Iron Condor OR Covered Call
Neutral / Slight Bearish	High IV	Bear Call Spread
Strong move expected (either direction)	Low IV	Long Straddle / Strangle
Bearish (own stock)	Any	Protective Put OR Collar
Very Bullish, long term	Low IV	LEAP Call

Strategy 1 — Covered Call (Wheel Entry — Income)

Situation: You OWN 100 shares of a stock. You want to generate income monthly.

Structure: Sell 1 OTM call for every 100 shares owned.

Profit/Loss:

- Max Profit = Premium received + (Strike - Stock purchase price) if called away

- Max Loss = Stock falls to zero (same risk as holding stock, reduced by premium)
- Breakeven = Stock price - Premium received

Example:

Stock: NVDA @ \$210
 Sell: July \$225 Call @ \$3.50 premium
 Premium received: \$350 (per contract)
 Max Profit: \$350 (if NVDA stays below \$225 at expiration)
 Called away profit: $\$350 + (\$225 - \$210) \times 100 = \$1,850$
 Breakeven: $\$210 - \$3.50 = \$206.50$

Rules:

- Target 0.25–0.35 delta (15–25% OTM)
- Use 30–45 DTE (days to expiration)
- Exit: buy back at 50% profit OR roll at 21 DTE
- Don't sell calls if you're not willing to sell the shares at the strike

When to use: Monthly income on core holdings. Great on NVDA, MSFT, AMD, SPY.

Strategy 2 — Cash-Secured Put (Wheel Entry — Acquire at Discount)

Situation: You WANT to own a stock at a price lower than current. You have cash sitting idle.

Structure: Sell 1 OTM put. Keep enough cash to buy 100 shares at the strike price.

Profit/Loss:

- Max Profit = Premium received (if stock stays above strike)
- Max Loss = (Strike x 100) - Premium received (if stock goes to zero)
- Breakeven = Strike - Premium received

Example:

Stock: AMD @ \$542
 Sell: July \$510 Put @ \$8.00 premium
 Premium received: \$800
 Capital required: \$51,000 (cash to buy 100 shares at \$510)
 Max Profit: \$800 (AMD stays above \$510)
 Breakeven: $\$510 - \$8.00 = \$502.00$
 If assigned: own 100 AMD at effective cost \$502/share

Rules:

- Only sell at a strike where you're HAPPY to own the stock
- Keep the full cash in your account — this is not a margin play
- Target 0.25–0.35 delta, 30–45 DTE
- Exit: buy back at 50% profit OR roll if stock approaching strike

When to use: Earning income while waiting for a pullback. Also the entry leg of the Wheel Strategy.

Strategy 3 — The Wheel Strategy (Full Cycle Income)

Situation: You have cash. You want to generate consistent income on stocks you'd be happy to own.

Structure: Repeat cycle — CSP → Own Stock → Covered Call → Repeat.

STEP 1: Sell Cash-Secured Put

↓ Stock stays above strike → Collect premium. Repeat Step 1.

↓ Stock drops below strike → GET ASSIGNED (own 100 shares)

STEP 2: Sell Covered Call

↓ Stock stays below strike → Collect premium. Repeat Step 2.

↓ Stock rises above strike → GET CALLED AWAY (shares sold)

STEP 3: Back to Step 1 with cash received.

Best stocks for the Wheel: High IV, liquid options, stocks you fundamentally believe in.

Good candidates: NVDA, AMD, LLY, MSFT, TSLA (for experienced traders)

Wheel math example (Monthly):

- \$50K account, NVDA CSP at \$200 strike, collect \$6.50/contract/month
- Monthly income: $\$650 / \$50K = 1.3\%$ per month = ~15.6% annualized (not counting appreciation)

Strategy 4 — Bull Put Spread (Defined Risk — Bullish)

Situation: Bullish on a stock but want to cap your maximum loss. Great for high-priced stocks or when you don't want to tie up a lot of cash.

Structure: Sell a put at a higher strike + Buy a put at a lower strike (same expiration). Net credit received.

Profit/Loss:

- Max Profit = Net credit received
- Max Loss = Spread width - Net credit
- Breakeven = Short strike - Net credit

Example:

Stock: SPY @ \$590

Sell: July \$575 Put @ \$4.00

Buy: July \$560 Put @ \$1.50

Net credit: \$2.50 (\$250 per spread)

Max Profit: \$250 (SPY stays above \$575)

Max Loss: $(\$575 - \$560) \times 100 - \$250 = \$1,250$

Breakeven: $\$575 - \$2.50 = \$572.50$

Capital required: $\$1,500$ (spread width $\times 100$) - \$250 (credit) = \$1,250

R:R = $\$250$ profit / $\$1,250$ max loss = 1:5 (make 20% on margin)

Rules:

- Set the short strike below a strong support level
- Target 0.25–0.30 delta on short strike
- Close at 50% profit. Close if loss exceeds 2x credit received.
- Never risk more than 2% of account on a single spread.

Strategy 5 — Bear Call Spread (Defined Risk — Neutral to Bearish)

Situation: Neutral or mildly bearish. Want to sell a call spread for credit above a resistance level.

Structure: Sell a call at lower strike + Buy a call at higher strike. Net credit received.

Profit/Loss:

- Max Profit = Net credit
- Max Loss = Spread width - Net credit
- Breakeven = Short call strike + Net credit

Example:

Stock: NVDA @ \$210 (at resistance)
Sell: July \$230 Call @ \$3.00
Buy: July \$245 Call @ \$1.00
Net credit: \$2.00 (\$200 per spread)
Max Profit: \$200 (NVDA stays below \$230)
Max Loss: \$1,300
Breakeven: \$232.00

Use when: Stock is at resistance and you expect it to stall or pull back.

Strategy 6 — Iron Condor (Neutral — Range-Bound)

Situation: You believe the stock will stay within a range. Collect premium from both sides.

Structure: Bull Put Spread + Bear Call Spread on the same stock, same expiration.

Profit/Loss:

- Max Profit = Total net credit (both spreads)
- Max Loss = Wider spread width - Total credit
- Two breakevens: Short put strike - credit AND Short call strike + credit

Example:

Stock: SPY @ \$590
Sell \$575 Put / Buy \$560 Put (Bull Put Spread) → \$2.50 credit
Sell \$605 Call / Buy \$620 Call (Bear Call Spread) → \$2.00 credit
Total credit: \$4.50 (\$450 per iron condor)
Profit zone: SPY stays between \$572.50 and \$607.50 at expiration
Max loss: \$1,050 (one side goes full loss)

Best use: High IV environments on broad indexes (SPY, QQQ, IWM). Monthly income play.

Rules:

- Manage the untested side if the stock trends strongly in one direction
 - Take profit at 50% of max profit
 - Never hold to expiration
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Strategy 7 — Long Call (Directional — Bullish Speculation)

Situation: High conviction bullish thesis. Want leveraged upside with defined risk.

Structure: Buy 1 OTM or ATM call. Pay premium upfront.

Profit/Loss:

- Max Profit = Unlimited (theoretically)
- Max Loss = Premium paid (fully defined)
- Breakeven = Strike + Premium paid

Example:

Stock: NVDA @ \$210
Buy: August \$220 Call @ \$8.00 premium
Cost: \$800 per contract
Breakeven: \$228.00
If NVDA → \$250: Call worth ~\$30.00 = \$3,000 profit (275% return)
If NVDA → \$210: Call expires worthless = \$800 loss (100% of premium)

Rules:

- Only buy when IV is LOW (IVR < 30) — cheap options
 - Use at least 45–60 DTE to give the thesis time to work
 - Never buy calls into earnings (IV crush)
 - Size to risk no more than 1–2% of account per trade
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Strategy 8 — Long Put (Directional — Bearish or Hedge)

Situation: Bearish on a stock, or need to hedge an existing long position.

Structure: Buy 1 OTM or ATM put. Pay premium upfront.

Example:

Stock: Overextended stock @ \$100
Buy: 45 DTE \$90 Put @ \$3.00
Cost: \$300 per contract
Breakeven: \$87.00
If stock → \$75: Put worth ~\$15 = \$1,200 profit
If stock stays above \$90: \$300 loss

As a hedge: Buy a put on a large existing position when market looks extended. Treat it like insurance — pay the cost, accept it, move on.

Strategy 9 — LEAP Call (Long-Term Bullish)

Situation: High conviction on a stock over 1–2 years but don't want to tie up capital buying shares.

Structure: Buy a deep ITM call with 12–24 months until expiration. Delta 0.70–0.85.

Why LEAPS work:

- Acts similar to owning the stock (high delta)
- Costs a fraction of buying 100 shares outright
- Defined risk (max loss = premium paid)
- Theta decay is slow on long-dated options (not the enemy here)

Example:

Stock: LLY @ \$1,080

Buy: Jan 2028 \$900 Call (deep ITM) @ \$210 premium
Cost: \$21,000 per contract vs. \$108,000 to buy 100 shares
Delta: -0.80 (moves \$0.80 for every \$1 LLY moves)
If LLY → \$1,300 in 12 months: Call worth ~\$410 = +\$19,000 profit (90% return)

Best for: NVDA, LLY, MSFT — stocks with strong 2-year thesis. Buy on dips, not rips.

Strategy 10 — Long Straddle (Earnings Play)

Situation: Earnings coming up. You expect a big move but don't know which direction.

Structure: Buy 1 ATM call + 1 ATM put, same strike, same expiration. Enter 1–2 days before earnings.

Profit/Loss:

- Profit if stock moves enough in EITHER direction to exceed premium paid
- Loss if stock barely moves (IV crush erodes value even if stock moves a little)
- Breakeven = Strike ± Total premium paid

Example:

Stock: NVDA @ \$210 (earnings tomorrow)
Buy: \$210 Call @ \$8.00
Buy: \$210 Put @ \$7.50
Total cost: \$15.50 (\$1,550 per straddle)
Upper breakeven: \$225.50
Lower breakeven: \$194.50
If NVDA gaps to \$235 after earnings: profit ~\$900
If NVDA barely moves to \$213: loss ~\$1,250 (IV crush)

Rules:

- Only use if IV Rank is BELOW 50 before earnings (cheap straddle)
 - EXIT on the day of earnings or the morning after — don't hold
 - Position size to max 2% of account
 - Skip if the stock is already pricing in a huge move (high IV = expensive straddle)
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Strategy 11 — Collar (Hedge an Existing Position)

Situation: You own stock and are nervous about downside, but don't want to sell.

Structure: Buy a protective put + Sell a covered call. The call premium offsets the put cost.

Example:

Own: 100 shares NVDA @ \$210
Buy: \$190 Put (downside protection) @ \$3.50
Sell: \$230 Call (cap upside) @ \$3.50
Net cost: \$0.00 (zero-cost collar)
Protected range: \$190–\$230

Use when: Sitting on a big gain and worried about a pullback but don't want to sell (taxes, conviction, etc.)

Part 3 — Risk Management Rules

The 2% Rule

Never risk more than 2% of your total trading account on a single options trade.

Account Size	Max Risk Per Trade
\$10,000	\$200
\$25,000	\$500
\$50,000	\$1,000
\$100,000	\$2,000

For defined-risk trades (spreads, long options): max loss = 2% of account.

For cash-secured puts: count the full cash requirement against your account.

The 21 DTE Rule

When selling premium (covered calls, CSPs, spreads), close or roll the position when it hits **21 days to expiration**. Why?

- Gamma risk spikes inside 21 DTE — small stock moves create big option price swings
- Theta accelerates, but so does the risk of things going wrong fast
- Take the remaining profit and redeploy into the next cycle

The 50% Profit Rule

When a short option position has gained 50% of max profit, close it. Don't get greedy.

- You've captured most of the profit for that trade
- Holding for the last 50% exposes you to gamma risk for much smaller reward
- Close it, bank the gain, open the next trade

Stop-Loss Rules

Strategy	Stop-Loss Trigger
Short puts/calls/spreads	2x credit received (e.g., collected \$2.00 → close if position goes to -\$4.00 loss)
Long calls/puts	50% of premium paid (e.g., paid \$8.00 → close at \$4.00)
Long straddle	Exit day of earnings, no exceptions
Covered call	If stock drops significantly, evaluate the stock thesis, not the option

Position Sizing

Strategy	Capital Requirement	Max # Open Positions
Cash-Secured Put	Full strike x 100	Based on cash available

Strategy	Capital Requirement	Max # Open Positions
Covered Call	None extra (own the shares)	One per 100 shares
Bull/Bear Spread	Max loss amount	5–8 simultaneous
Long Call/Put	Premium paid	3–5 simultaneous
Iron Condor	Max loss amount	3–5 simultaneous

Never have more than 25% of your account in options premium risk at one time.

Part 4 — Trade Execution Checklist

Before entering ANY options trade, answer these:

PRE-TRADE CHECKLIST

- What is my maximum loss on this trade?
- Is max loss within 2% of my account?
- What is my profit target (50% for short premium, specific target for long)?
- What is my stop-loss trigger?
- What is the IV Rank? (High = sell, Low = buy)
- Is there an earnings event within the trade's lifespan? If yes – intentional?
- Is the option liquid? (Bid-ask spread tight, open interest > 500)
- Am I using a limit order? (Always yes)
- Does this trade fit the current macro regime?
- Have I logged this trade (or will I log upon entry)?

Part 5 — Earnings Calendar Protocol

Earnings events are the highest-risk periods for options. Follow this protocol:

7 days before earnings:

- Check all open positions for earnings exposure
- Decide: close before earnings OR hold through (and why)

3 days before earnings:

- If holding through for an earnings play — structure it as a straddle or spread
- Never hold a naked long call or put into earnings (IV crush risk)

Day of earnings (after market close):

- If using straddle: be ready to close the next morning
- Review the move vs. your breakeven — exit if breakeven isn't achievable

Day after earnings:

- Close all earnings plays. Don't hope for a delayed move.

Part 6 — Broker & Account Setup

Recommended Platforms

Broker	Best For	Options Level Needed
Tastytrade	Options-first platform, best for premium sellers	Level 2+
TD Ameritrade (thinkorswim)	Advanced charts + paper trading	Level 2+
Fidelity	Long-term investing + covered calls	Level 2
Interactive Brokers	Lowest commissions, professional grade	Level 2–3
Robinhood	Basic options, simple interface	Level 2

Options Approval Levels

Level	What You Can Trade
Level 1	Covered calls only
Level 2	Long calls/puts + cash-secured puts
Level 3	Spreads (defined risk)
Level 4	Naked calls/puts (NOT recommended)

SmithCap FMO targets **Level 3**. All strategies in this playbook require Level 2 or 3.

Part 7 — SmithCap Options Risk Framework Summary

Rule	Limit
Max risk per trade	2% of trading account
Max total options exposure	25% of trading account
21 DTE rule on short positions	Close or roll
50% profit rule	Take profit and redeploy
Stop-loss on spreads	2x credit received
Stop-loss on long options	50% of premium paid
IV Rank threshold for selling	IVR > 30 preferred, >50 ideal
IV Rank threshold for buying	IVR < 30 preferred
Earnings rule	Define the trade structure before entering
Max single position	10% of liquid trading capital
No naked options	Never. Defined risk only.

Part 8 — Quick Reference Cheat Sheet

BULLISH + HIGH IV → Sell Cash-Secured Put or Bull Put Spread

BULLISH + LOW IV → Buy Call or LEAP
NEUTRAL + HIGH IV → Iron Condor or Covered Call
BEARISH + HIGH IV → Bear Call Spread or Buy Put Spread
BIG MOVE? + LOW IV → Long Straddle (earnings play)
OWN STOCK + WORRIED → Collar or Protective Put
OWN STOCK + INCOME → Covered Call

ALWAYS:

- Define max loss FIRST
- Use limit orders
- Check IV Rank before choosing buy vs. sell
- Check earnings calendar
- Close at 50% profit on short positions
- Close at 21 DTE on short positions
- Never risk more than 2% per trade

NEVER:

- Naked calls or puts
- Market orders on options
- Hold long straddles past earnings day
- Trade illiquid options (wide bid-ask)
- Let a losing spread go to max loss without evaluating exit
- Trade with emergency fund or retirement money

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